SEGMENTATION & POSITIONING

Session 6

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Agenda for today

1. What is segmentation
2. Main steps of segmentation analysis
3. The concept of Positioning
4. Strategic group analysis
5. Red and blue oceans strategy

What is segmentation?

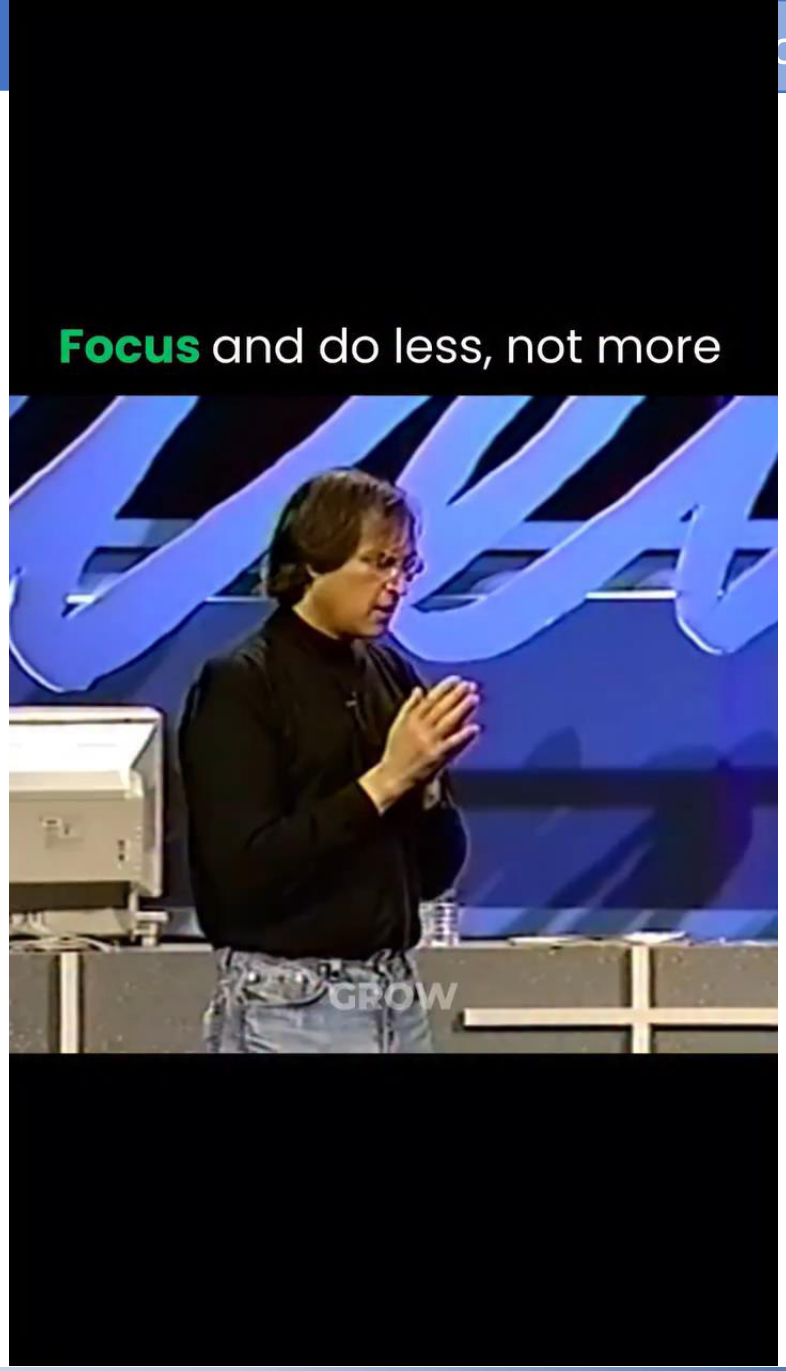
- **Segmentation →**

The process of disaggregating industries into specific markets

- **A more detailed analysis of competition, focused on a market**

INDUSTRY → MARKET

Why is segmentation important for defining the strategy?



What is key of marketing strategy?



"Treat each **customer as if they were unique** and **Know your competition** better than they do"

What is segmentation?

The real purpose of market segmentation →

Identifying and understanding a brand's customer needs.

Airline Industry → Leisure Traveler & Business Traveler

- Do the same person have the same needs when travelling for leisure or for business purpose?
- Are all the leisure travelers the same?
- Are all the business travelers the same?

Example: Segmentation of the car industry

Variables

REGIONS

Categories

PRODUCTS

	North America	Western Europe	Eastern Europe	Asia	Latin America	Australia & NZ	Africa
Luxury cars							
Full-size cars							
Mid-size cars							
Small cars							
Station wagons							
Minivans							
Sports cars							
Sport utility							
Pickup trucks							
Hybrids							

Why can segmentation be useful?

1. Identify attractive segments
2. Adapt strategies for each segment
3. Decide how many segments to serve → **Decide who is your customer**
4. **Identify potential 'uncontested' market segments**:
   - Blue Ocean Strategy
   - First mover advantage (?)

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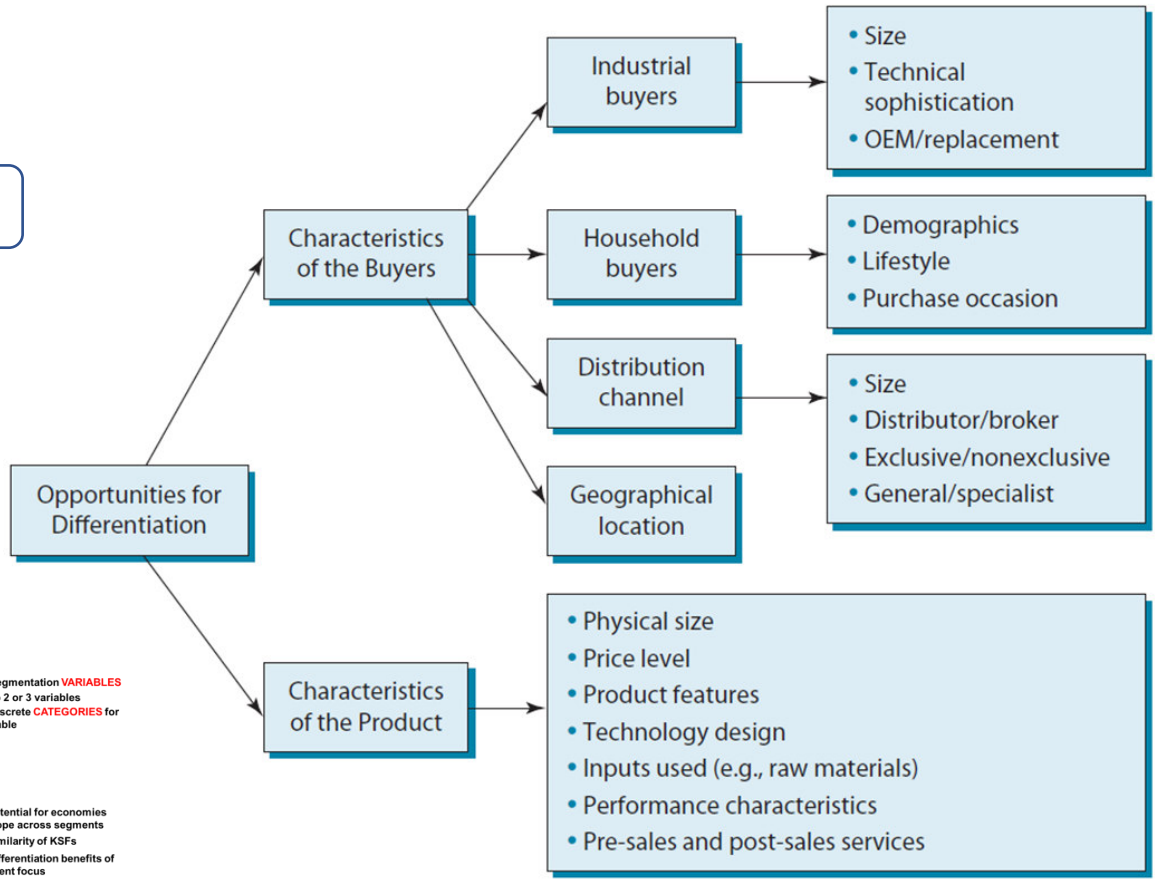
The steps of segmentation analysis

1. **Identify key variables and categories**
   - Identify segmentation **VARIABLES**
   - Reduce to 2 or 3 variables
   - Identify discrete **CATEGORIES** for each variable
2. **Construct a segmentation matrix**
3. **Analyze segment attractiveness**
4. **Identify KSFs in each segment**
5. **Analyze benefits of broad vs. narrow scope**
   1. Potential for economies of scope across segments
   1. Similarity of KSFs
   2. Differentiation benefits of segment focus

1st Identify key variables and categories

- Key segmentation variables can be identified by looking at buyer and product characteristics

Variables

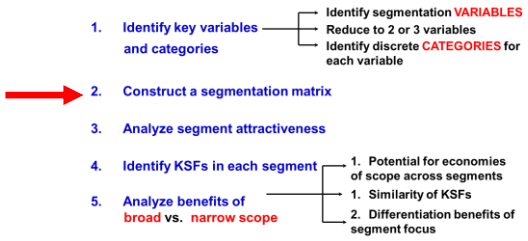


OEM: original equipment manufacturer

Convenience purchase

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2nd Construct a segmentation matrix



Variables

REGIONS

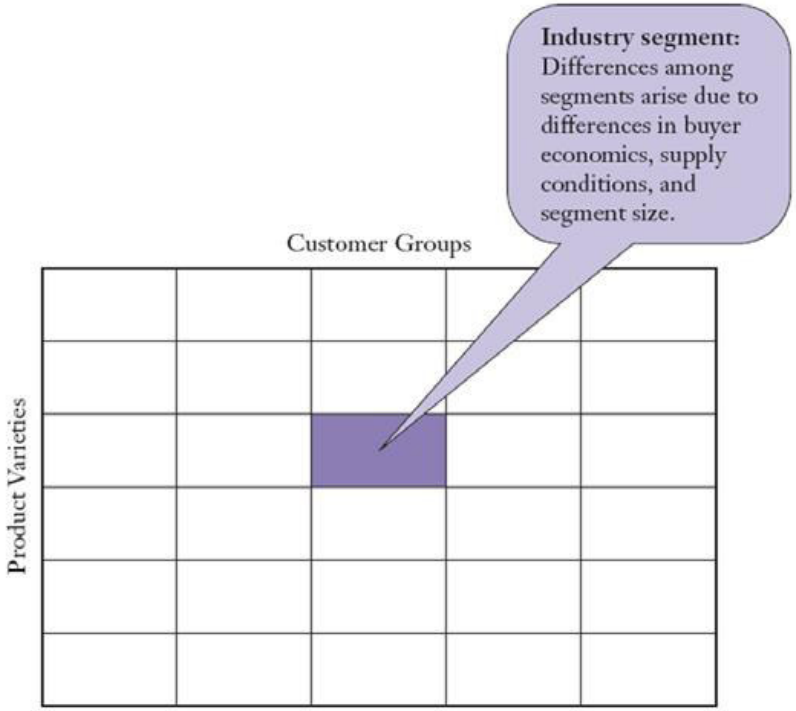
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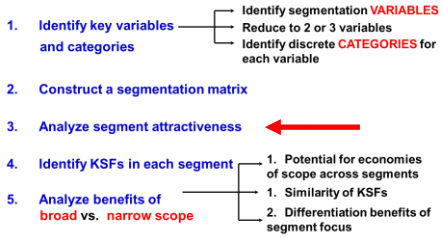
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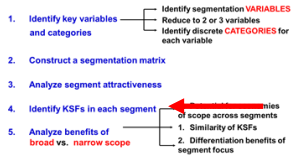
3 rd Analyze segment attractiveness

- Porter's 5 forces are a useful tool to analyze the (structural) attractiveness of segments and identify key success factors





Key success factors → Are those **important elements** required to compete in its **target markets (CUSTOMER SEGMENTS)**



What does my customers value?

- Demand Analysis
  - What does my customers value?
  - who are my customers?

How do I survive to competition?

- What are the dimensions of competition?

  Price, service, quality, etc…
- How can we bit competition?



KEY SUCESS FACTORS

Which are the key success factor of a tree in the Amazonia?

And in Siberia?

And in the Desert?

4 rd Identify KSFs in each segment

Segmentation and Key Success Factors: The U.S. Bicycle Market

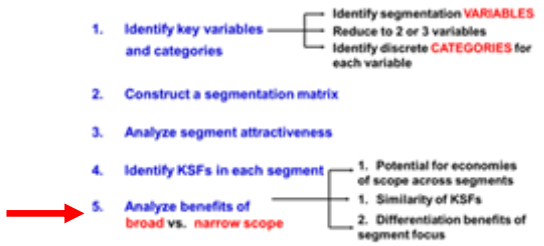
SEGMENT	KEY SUCCESS FACTORS
Low price bicycles sold primarily through department and discount stores, mainly under the retailer's own brand (e.g. Sears' "Free Spirit");	• Low-costs of components and assembly. • Supply contract with major retailer. *Leading competitors:* Assemblers in Taiwan & China + a few U.S manufacturers, e.g. Murray Ohio, Huffy
Medium-priced bicycles sold mainly under manufacturer's brand and distributed through specialist cycle stores	• Cost efficiency through scale and low wage costs • Reputation for quality • Good dealer relations * International marketing & distribution. *Leading competitors:* Giant, Peugeot, Fuji
High-priced bicycles for enthusiasts.	• Quality components and assembly • Innovation in technology and design • Reputation (including success in racing) • Strong dealer relations.
Children's bicycles /tricycles) sold through discount stores, & toy stores)	Similar to low-price bicycle segment.

5 th Analyze benefits of broad vs narrow scope

Select between **BROAD** and **FOCUSED** strategies

- Broad strategy = the company seeks to serve all customer groups in the market with a portfolio of related products

  - Offer variety (Product portfolio) to all customer groups, rather than appeal to a single market segment
  - Attractive if there are economies of scope and scale across product classes
    - Common production facilities or components
    - Shared distribution channels
    - Marketing

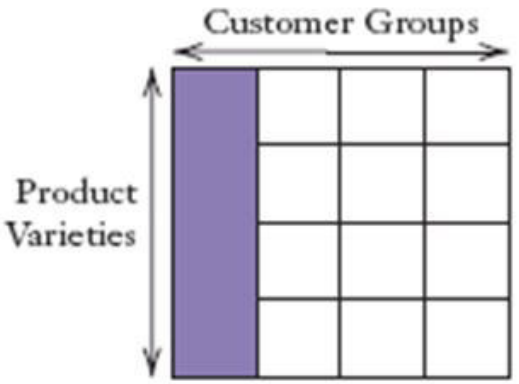


Focused Strategies → Customer Specialization

- **Focused strategy** = focus on
  1. **Customer group** (Customer Specialization Focus)
  2. **Product** (Product Specialization Focus)
  3. **Geographic area** (Geographic Specialization Focus)

Customer Specialization Focus

- Offer an array of product varieties to a limited class of customers.
- Cater to the particular needs of the customer group served.



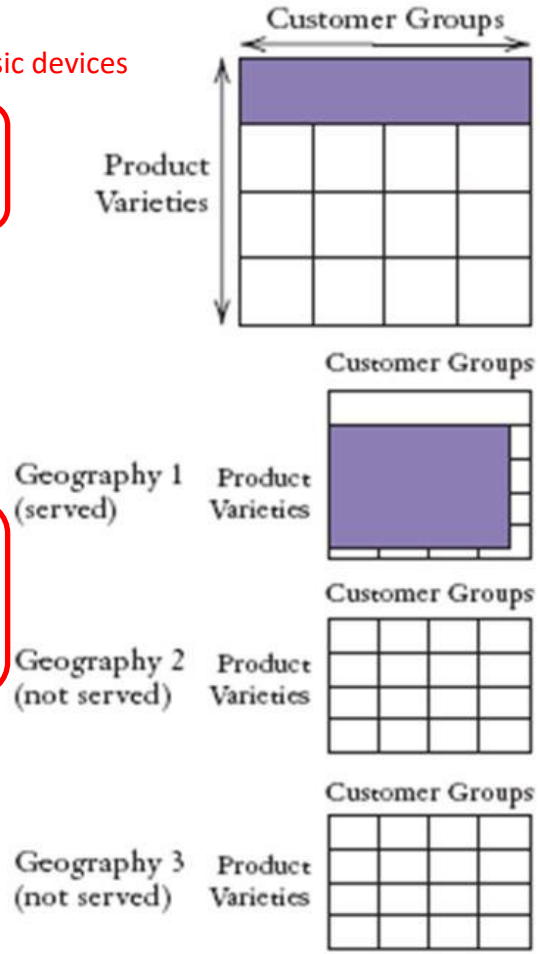
importance of economies of scope

Ex.: **Consulting services for government agencies**

Focused Strategies →
Product and Geographic Specialization

- **Product Specialization Focus** Ex.: Bose / Sennheiser music devices
  - Offer a limited set of products to an array of different customer groups.
  - Do an especially good job satisfying a subset of the needs of the customer groups being served.
- **Geographic Specialization Focus**
  - Offer a variety of products and/or sell to a variety of customer groups within a narrow geography.

Ex.: neighborhood store



importance of economies of scale and learning

importance of economies of scale and scope

1) Sensitive Pragmatists (29%) → blue-collar workers

The largest segment of Harley owners tends to be blue-collar workers. They consider themselves easy going and practical. These owners take motorcycle riding seriously. They say, "You'd better know something about what you're doing before riding a motorcycle." They like the "high" of riding. They tend to be FL-series owners.

2) Laid Back Campers (24%) → in touch with nature

Quiet and soft-spoken. This group likes to cruise, not speed or race. The also view their bikes as a way to get out of the city and in touch with nature. These bikers are patriotic: the "Made in America" label is their number one reason for buying a Harley. They tend to be Sportster owners.

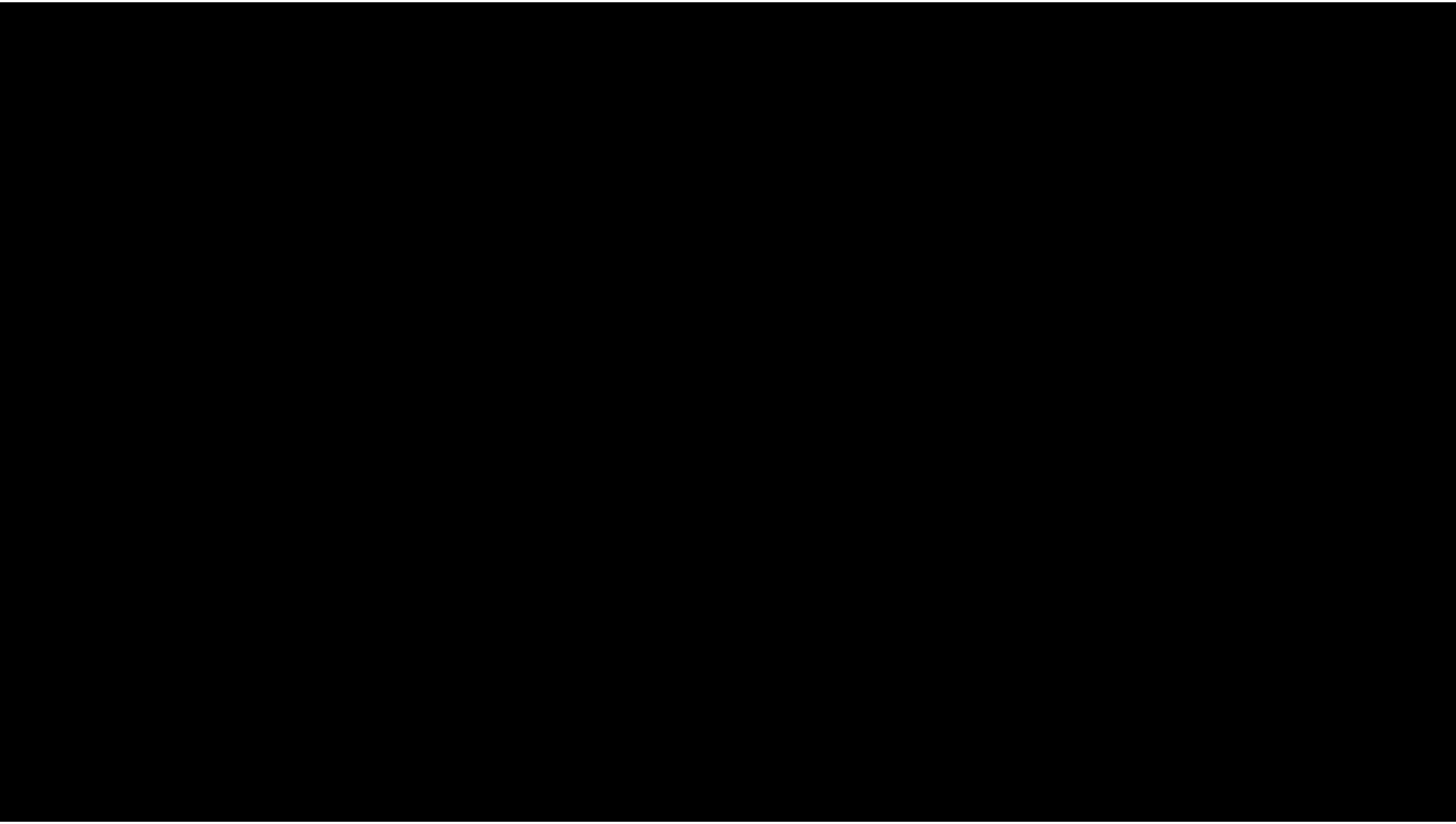
3) Cool-Headed Loners (17%) → **higher income** "white collar" individuals, **express their** independence

The loners consider a Harley motorcycle the perfect get-away vehicle to express their independence. They tend to be higher income "white collar" individuals. In their opinion the "Harley experience" is the ride itself. They describe Harley as a "fingerprint: you buy the basic cycle, then personalize it so no one else has one exactly like yours." Loners also believe in "live and let live;" to them, riding a Harley reflects that attitude. They tend to be Softail owners.

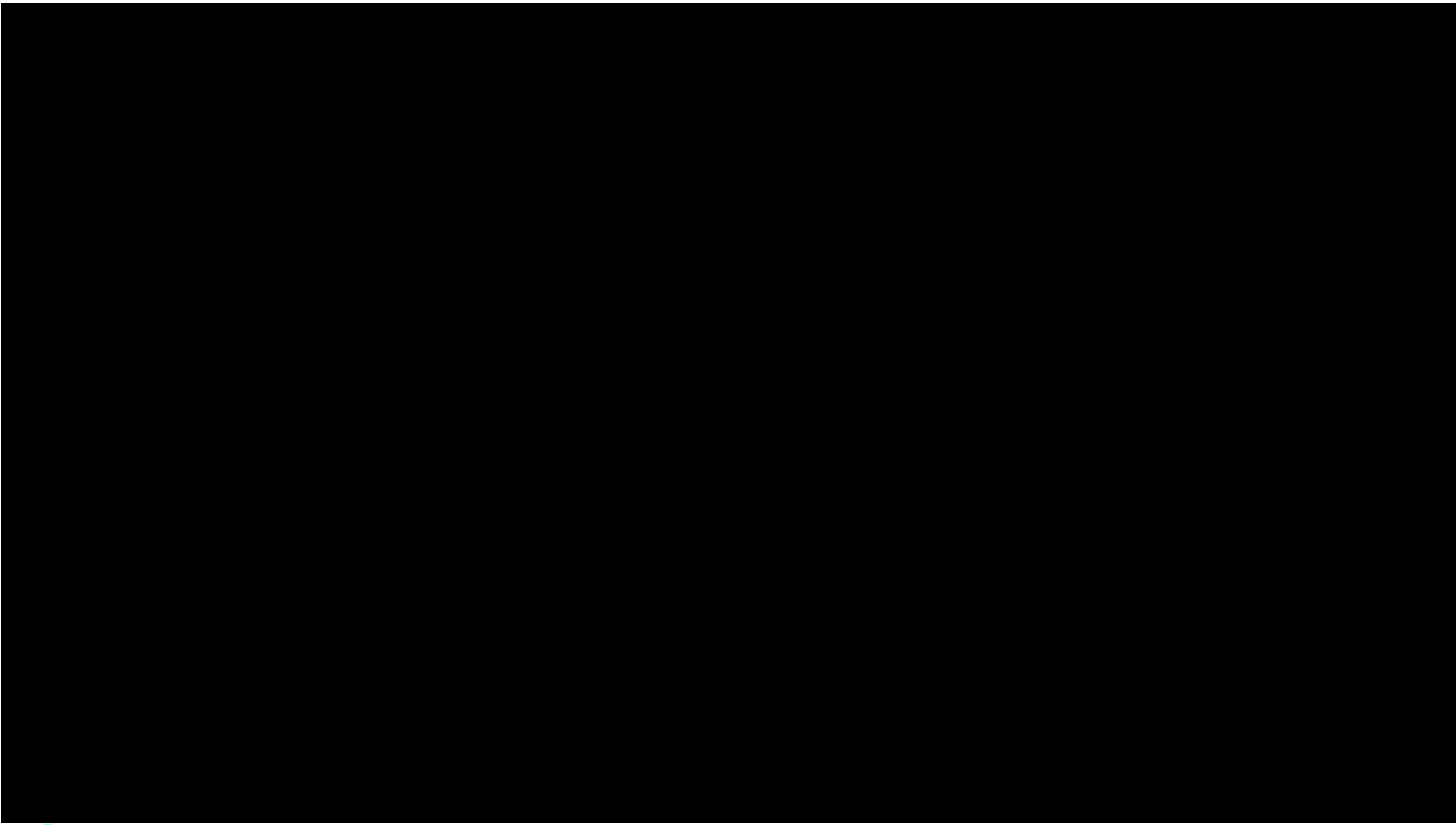
4) Adventure-Loving Traditionalists (10%) → **independence,** freedom and adventure. **They love risk**

This market segment rides a Harley for its **independence, freedom and adventure. These individuals love risk** and seek thrills. Traditionalists consider new Harley-Davidson riders trendy and unappealing. Like the Laid Back Campers, this group believes the reason behind Harley's great performance and quality is the "Made in America" label.

https://www.youtube.com/watch?v=sIjAwfsSJFg (2 m.)



https://www.youtube.com/watch?v=HnNBOvqPi5U (1 m.)



EXAMPLE OF PRODUCT SEGMENTATION

CRUISER



SPORT



STANDARD



TOURING



DUAL sport



DIRT



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The Concept of Positioning

1. Set the boundaries of the industry …
2. Decompose the industry into markets and select the right segment…
3. Do you have the right product for the market? The segment matches characteristics of the product with the demand (it adds information on differentiation and non price competition).
4. Assess the structural determinants of the segment (as it were an industry)…
5. Identify direct competitor(s)
6. Finally, select the Positioning = *Choice of a favorable position in an industry or market (i.e. cost vs. benefit leadership)*

Segmentation vs. Positioning vs. Differentiation

- Segmentation = Choice of customers, needs, and geographical areas targeted by a firm (i.e. Where does the firm compete)
- Positioning = Choice of a favorable position in an industry or market (i.e. cost vs. benefit leadership)
- Differentiation = Choice how a firm distinguishes its offerings from those of its competitors → Value Proposition
- **Does differentiation imply segmentation?**
  - Not necessarily, depends upon the differentiation strategy

Broad Strategy
- Broad Scope Differentiation–Appealing to what is common between different customers (Apple, McDonalds, Honda…)

Niche Strategy
- Focused Differentiation–Appealing to what distinguishes different customer groups (MTV, Harley-Davison, Armani,…)

1. What is segmentation
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5. Red and blue oceans strategy (*Concepts that you need for next Asynchronous session*)

Strategic group analysis (1/2)

Purpose: **Identify strategic competitors**

- **Strategic group** = Group of firms in an industry following the same or a similar strategy along the strategic dimensions

- **Strategic group analysis**: Disaggregate industry **based on firms' strategies**
- **Segmentation analysis**: Disaggregate industry **based on market characteristics**

Example 1: Car industry

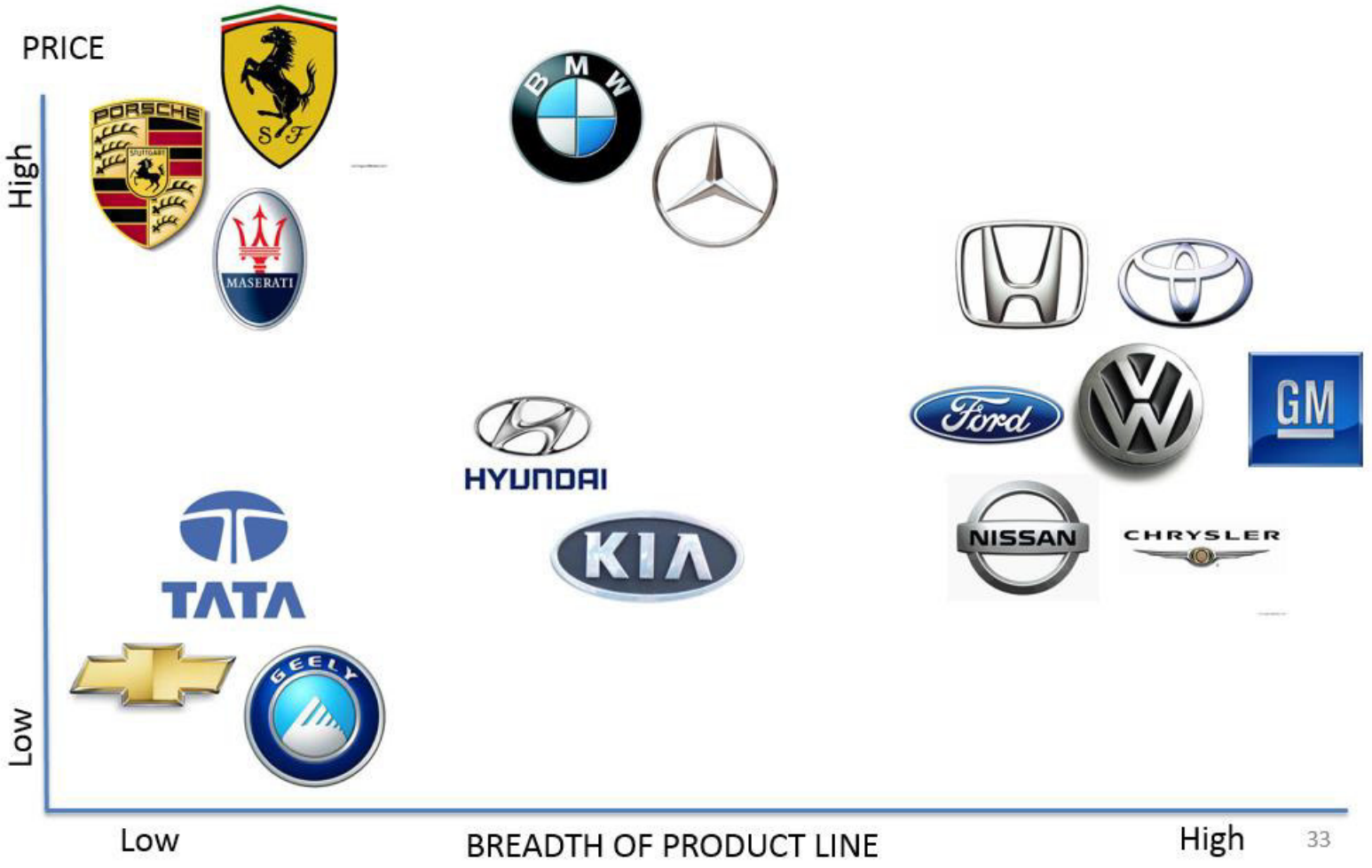


Strategic group analysis (2/2)

1. **IDENTIFY STRATEGIC GROUPS**:
   - Identify principal STRATEGIC VARIABLES that distinguish firms.
   - Include at least two strategic variables that define a strategy
     - Product range (diversification)
     - Geographical breadth; Marketing Expenditure; Choice of technology, R&D expenditure; Extent of Vertical Integration; Ownership structure; Pricing policy; etc….
   - The strategic variables should not be strongly correlated and they must show high variance across firms in the sector
2. **BUILD A MAP** AND **POSITION EACH FIRM** to these variables
3. **IDENTIFY CLUSTERS**

A firm may belong to more than one strategic group depending on the variables selected.

Example 2: Car industry



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Red vs Blue Oceans

- Red oceans:
  - All industries in existence today
  - Competitors fight for market share
  - The more crowded these industries the less prospects for profits and growth

- Blue oceans:
  - All industries not in existence today (unknown market space)
  - Demand is created rather than fought for
  - Ample opportunities for profits and growth



Red
vs
Blue Oceans



Larry Elisson

(Founder of ORACLE)

Red and Blue Oceans Strategies

Don´t Compete → Make Competition irrelevant



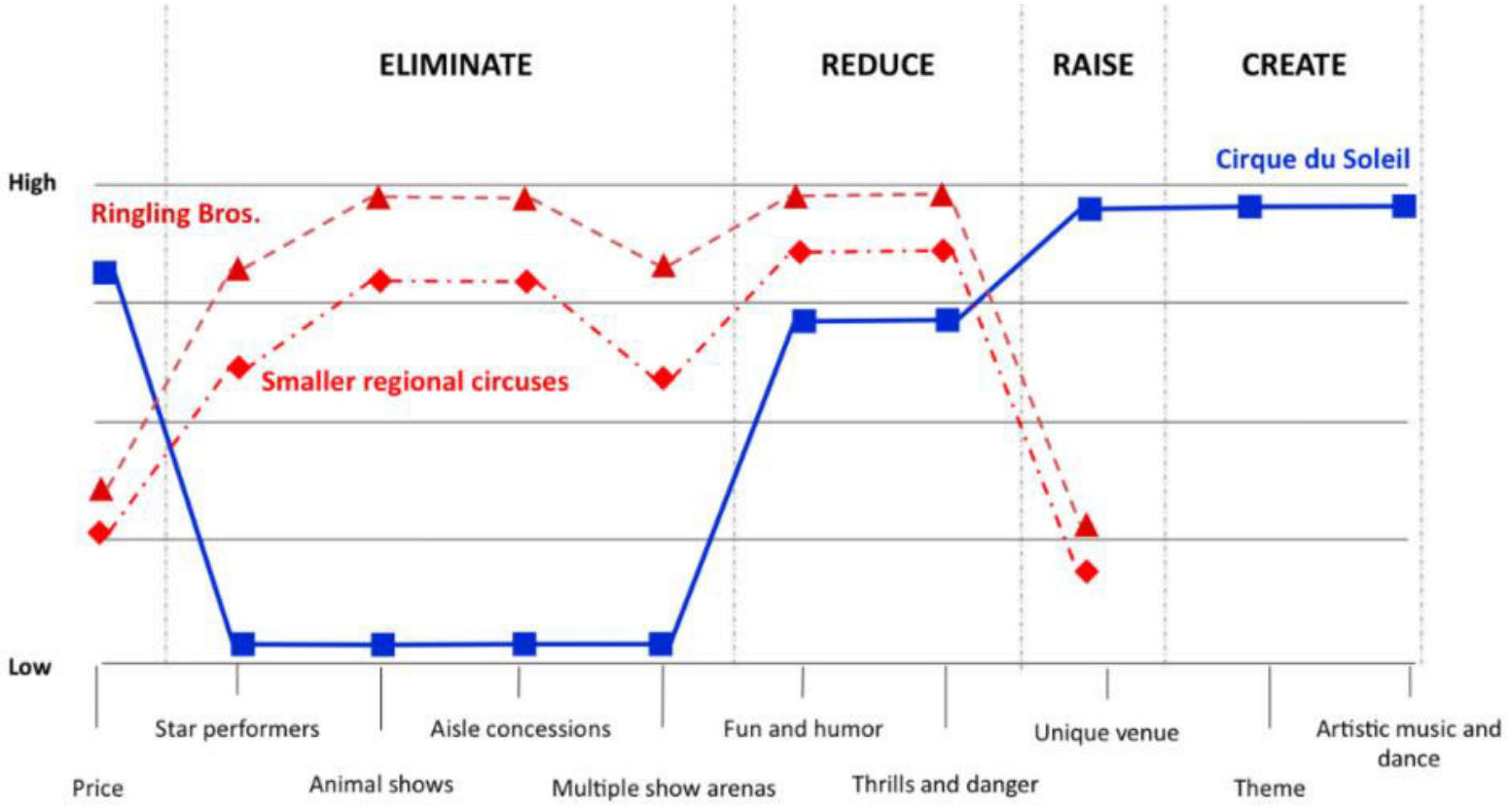
- Create uncontested market space
- Make the competition irrelevant
- Create and capture new demand
- Break the value-cost trade off
- Pursue low cost *and* differentiation



- Compete in existing market space
- Beat the competition
- Exploit existing demand
- Make the value-cost trade off
- Pursue low-cost *or* differentiation

STRATEGY CANVAS FOR BLUE OCEAN STRATEGY
Cirque du Soleil vs. Traditional Circus

Eliminate – Reduce – Raise – Create



Red and Blue Oceans

Red Ocean Strategy	Blue Ocean Strategy
Compete in existing market space	Create uncontested market space
Beat the competition	Make the competition irrelevant
Exploit Existing Demand	Create and capture new demand
Make the value/cost trade off	Break the value/cost trade off
Align the whole system of companies activities with its strategic choice of differentiation or low cost	Align the whole system of companies activities in pursuit of differentiation and low cost

- Create blue oceans:
  - Create a new industry ebay
  - Alter boundaries of an existing industry CIRQUE DU SOLEIL

STRATEGY CANVAS FOR BLUE OCEAN STRATEGY

1st → **Find out the key factors of the industry and paint the STRATEGY CANVAS**

2nd → Try to **find out other interesting NEW FACTORS** for the industry that will create value for the customers. Look at this 6 possibilities:

1. **Other related industries**. Ex. CIRQUE DU SOLEIL and Musical Shows.

2. **Segmentation of customers**. Ex. CURVES → Gym for women

3. **Who buys and who pays**. Ex. AIRLINE MILES and fidelity cards

4. Complementary product or service. Ex. APPLE and itunes

AIRLINE INDUSTRY and Ground transportation to the city.

5. **Look for emotional appeal for customers**. Ex. ZARA → Fast fashion

THE BODY SHOP→ Care about the planet cosmetics

6. **Look for new technologies and changes in the external environment**.

Ex. GOOGLE → Organize information on the web

AMAZON → Online global web; NETFLIX → Solution to illegal copy of DVDs

Exercise in class

The University of the future

Using the blue ocean strategy tools try to think about a new model for the University formal education.

1. Write which are the key Resources and Capabilities that makes the difference in this industry.
2. Eliminate, Reduce, Create or Increase each of this elements so we create a new business model.
3. Try to think “out of the box” and use six possible elements to improve the blue ocean strategy.
    1. Other related industries.
    2. Segmentation of customers.
    3. Who buys and who pays.
    4. Complementary product or service.
    5. Look for emotional appeal for customers.
    6. Look for new technologies and changes in the external environment.

Exercise in Class

- Divide into groups
- Please consider **Harley Davidson** & **Ducati**.
- Apply a segmentation analysis of the two firms.

The steps of segmentation analysis

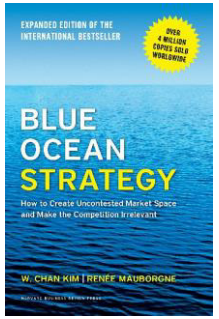
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6

Red and Blue Oceans Strategies

Don´t Compete → Make Competitor irrelevant

Make the competition irrelevant: BLUE OCEAN STRATEGY by W.C. Kim and R. Mauborgne
https://www.youtube.com/watch?v=5Xd5lvyWMe8



Example - How Cirque du Soleil revolutionized the circus - Blue Ocean Strategy Example
https://www.youtube.com/watch?v=GkF_yStN4pw



Renée Mauborgne | WOBI
https://www.youtube.com/watch?v=clp-IMpuwaQ

Renée Mauborgne on lessons from Facebook, Uber and Amazon
https://www.youtube.com/watch?v=tRDafz8Xc-8

Thanks a lot!

Any questions?

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